OPEN LETTER · EYE ON SHOALHAVEN COUNCIL

Shoalhaven business rates $2,961 against $5,546 at similar councils: letter to Council

Sent 11 October 2026 · To Shoalhaven City Council · Response requested by 9 November 2026

11 October 2026

The Mayor, Cr Patricia White
Mr Andrew Constance, Chief Executive Officer
Shoalhaven City Council
PO Box 42
NOWRA NSW 2541

Dear Mayor and Chief Executive Officer,

Business rates: a staged and substantial increase, or reasons for declining one

I write to ask Council to adopt a staged, multi-year increase in the share of general income raised from business rates, beginning with the 2027-28 rating year. If Council will not do so, I ask that it say why, in writing, on the evidence.

The gap

IPART's May 2025 final report on Council's special variation sets out the position. Council's average business rate for 2025-26 is $2,961 across 2,462 business assessments. IPART's comparison for the same year gives:

- $5,546 for councils with a similar SEIFA ranking;
- $6,361 for neighbouring and nearby councils; and
- $6,676 for the other OLG Group 5 councils.

Council's average business rate is below all three. Multiplied across 2,462 assessments, the differences are about $6.4 million, $8.4 million and $9.1 million a year. Council's average business rate is also only about 1.8 times its average residential rate ($1,659). On IPART's figures the same ratio is about 3.1 to 3.8 across the three comparison groups.

Why this matters now

IPART approved the 12% special variation but found that it will not make Council financially sustainable. Even with it, IPART projected an average operating performance ratio of -5.7% over five years and an infrastructure renewals ratio of about 68% against the 100% benchmark. IPART said Council may need to consult its community and consider further steps to increase its revenue.

IPART also said Council retains discretion over how general income is raised across the rating categories, and encouraged Council to consult on how to implement the increase and any changes to the rating structure. Its assessment of impact on ratepayers focused on

residential rates. Residential ratepayers carry most of the burden, and in 2025-26 they faced an average increase of $154 on top of rises in earlier years.

What I ask Council to do

I ask that Council resolve to:

1. adopt a staged rebalancing over at least three rating years from 2027-28, under which business ordinary rates rise faster than residential, with the first stage raising not less than an additional $2 million a year from the business category, equivalent to roughly a quarter of current business ordinary rate income;

1. apply that additional income to reduce the residential increase that would otherwise be needed, so that the rebalancing is a fairer distribution of the existing burden and not merely an addition to it;

1. set a published target for the ratio of average business to average residential rates, and report against it annually; and

1. exhibit the proposed rating structure for community consultation, with the dollar impact for the average ratepayer in each business sub-category and land-value band, before any decision is made.

If Council declines

If Council does not intend to increase business rates in this way, I ask for a written response that answers each of the following:

1. Has Council modelled any option that increases the business share of general income? If so, please provide the models and results. If not, why not?

1. What evidence does Council hold on the capacity of businesses in the local government area to pay higher rates, and by what test does it conclude that this evidence does not support a higher business share?

1. What like-for-like data does Council rely on, such as median rates, rates by sub-category and land-value band, and the effect of large CBD and industrial properties on the averages, in forming a view on how its business rates compare with other councils'?

1. Has Council considered whether business sub-categories, differing base amounts or minimum amounts are available and appropriate to achieve a fairer distribution, and what advice has it received?

1. If Council intends to seek further increases in general income beyond the rate peg, why should residential ratepayers bear them while the business category stays well below its peers?

Please provide Council's response in writing by 9 November 2026, and provide a copy of this letter to all councillors.

Yours sincerely,

Steve Prothero
Independent civic accountability journalist and publisher
Eye on Shoalhaven Council

Source of figures: IPART, Shoalhaven City Council Special Variation Application 2025-26, Final Report, May 2025 (Tables 2.2, 6.1 and 6.4; sections 1.2, 1.4 and 4.3). Revenue differences are calculated as the gap in average rates multiplied by 2,462 business assessments.
